CMO Tips: Goals, Objectives, Strategies and Tactics?

TOMMY MARZELLA, IGNITIONONE BLOG

In the world of marketing, often times we start on one path with a very specific objective in mind that gets contorted along the way through hundreds of e-mails, conversations, new priorities and rushed deadlines until you are left with only fragments of the original idea. For instance, after countless hours spent crafting a perfect message for headphones, the entire concept can be changed in minutes when management discovers speaker sales are down. This problem has plagued marketers for decades and causes larger issues beyond remaining sane; it directly affects the long-term growth strategy of the company. Without a clear understanding of goals, objectives, strategies and tactics, it becomes virtually impossible to achieve any form of long-standing measurable success.

Without a clear understanding of these terms and how they relate to your company, it can be easy to get lost, ultimately wasting time, resources and budgets along the way. I like to think of true success as a top-down approach; each action building on top of a larger goal in the following order to get you the results you desire:

• **Goals:** A goal is a high-level, measurable intention for the company over the course of a specific time-period. These define the strategic direction your company is going to take and should be designed and agreed upon with key management. During every decision, leaders and employees should ask, "does this action help achieve this goal?" If the answer is no, then you need to reassess what purpose it serves and if it is worth your time. For example, a product-based online exclusive may go against a larger company goal of increasing foot traffic to retail locations.

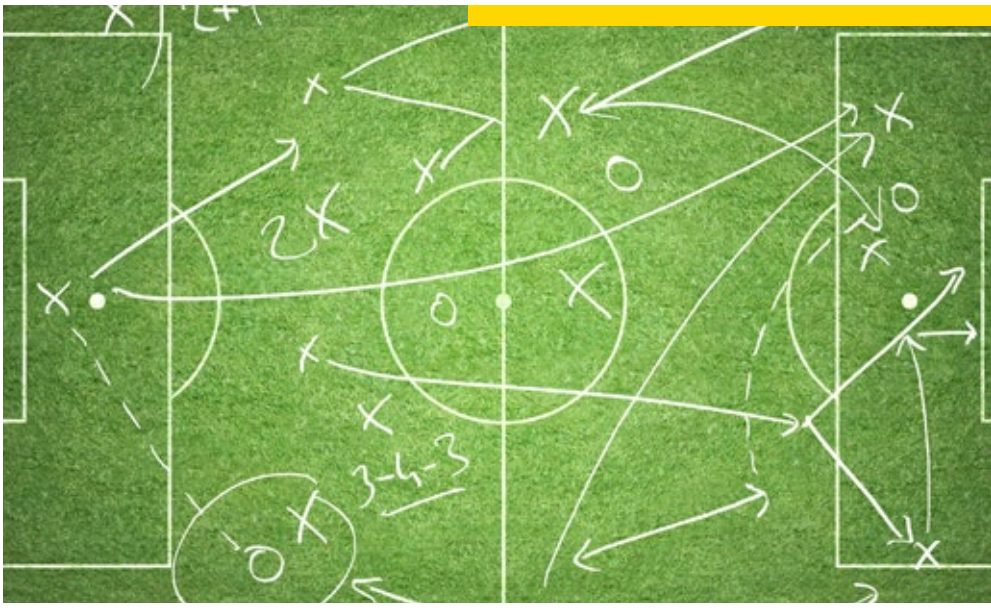
• **Objectives:** Objectives are the key milestones you need to meet in order to reach your larger goal. Each objective is designed in a way to set you up for success by supporting your larger goal. It is not uncommon to have 3-4 objectives that must be met in order to help you achieve your goal. Sticking with the larger goal of increasing foot traffic to retail locations, you may have multiple objectives that need to align, such as launching a customer loyalty program, expanding a popular product line and increasing your connection with customers with a synchronized approach across channels.

• **Strategies:** A strategy is a thoughtful, researched and specific game plan identifying how you are going to achieve each objective. Each objective should have a strategy in place that a team can design to build up to the objective and goal. When writing out a strategy, it is common to incorporate industry specialists, consultants, vendors and those well-versed on helping to meet your objective. If you want to enhance your connection with your customers, you need to list out each way that can be done. For example, you can use social media, useful content, special events, advertising, and programs encouraging referrals. This is where you finalize the game plan before execution.

• **Tactics:** Tactics are very specific ways to execute on a strategy. Think of tactics as the day-to-day task list to execute the strategy that will help you achieve your objective, subsequently getting you closer to your goal. In our example, the objective was to increase your connection with your customers, which included social media, useful content, events, etc. Honing in on events, we can use specific tactics, such as an event highlighting a new product line's usefulness, which ultimately aligns with our high-level goal of increasing foot traffic.

The key is to remain focused on your long-term goals. Last-minute items come up frequently in companies but by stepping back and reassessing, you can reframe how your business is done. Ask yourself frequently, "How does this help to meet our goals?" If you find that you are unsure, you may need to revisit your strategy as a team to determine which direction is best for your company.

"I like to think of true success as a top-down approach; each action building on top of a larger goal in the following order to get you the results you desire"



Agencies Better Cozy Up to Ad Tech

CHRISTOPHER HANSEN, DIGIDAY

It used to be that a few people inside the media department were in charge of vetting vendors, sometimes by doing their own cursory recon when time permitted but usually by fielding half-hour sales calls of every imaginable variety. The job of evaluating hundreds of sellers and third-party companies, and ultimately executing the handful of small deals that fit the media plan, was relegated to a handful of employees. But the stakes are much higher in this rapidly accelerating era of ad technologies and widespread automation.

Good agencies know this. They speak less often of vendors and more often of partners. The vetting and deal-making is rarely tossed to the ranks of a single department. The agency principals are hands-on, and they recognize the value of having the right ad tech providers as partners involved in their plans because they are focused on future-proofing their agencies for the long haul. The agencies that don't value their ad tech relationships will be left behind.

If involved at the right stages, your ad tech partners can directly assist in transforming, sustaining and growing your client business. Smart agencies engage prospective companies on their thoughts on scale, growth and capacity to service the agency at various stages. These partnership decisions affect multiple disciplines, but too many agencies fail to involve the right stakeholders in the vetting process, much to their detriment. The ad tech partner consideration is no longer just about servicing the media plan. Agency principals who understand this involve the right minds from client services, media, creative, technology, analytics and operations in developing the road map for ad tech partnerships.

In the complex media ecosystem, ad tech companies recognize that they are part of a small orchestra the agency is conducting. But agencies have to take the initiative to let us know where we fit into the overall strategy and the plan. Far too often, any perceived disconnect is the result of not understanding the objectives, making it difficult to tune and perform. By allowing potential partners to invest in strategic agency plans from the outset, performance likely tunes up earlier.

The best agency and ad tech partnerships work through strategy, planning and performance evaluation as a team. Goals need to be set, questions need to be asked, and reality needs to be checked periodically. No matter where you sit in your respective organizations, you should be thinking about building a sustainable business and taking the longer view. Key to this is getting real about the business relationships that shape, support and fuel our operations. For agencies that want to remain a player in the dynamic media and marketing landscape, this starts with respecting the role of their ad tech partnerships and fighting bad habits to achieve an open and honest environment.



"The agencies that don't value their ad tech relationships will be left behind."

Conversion Optimization: Your Own Online Sales Associate

STEWART HOLT, IGNITIONONE BLOG



I am Chandler Bing to my friends; to a social circle filled with lawyers, teachers, insurance brokers and advertising execs- I simply work with the Internet. Attempts to explain the conversion optimization solutions I sell are met with vacant expressions and polite nods. That was until I cracked it and found a real world comparison to explain exactly what IgnitionOne's onsite technology does.

Picture this: It is Saturday afternoon and you are out shopping. You enter a suit shop. You were here last week but didn't really have the time to browse properly. You tentatively walk in and start looking around at all types of suits; grey, brown, black, navy. You decide that navy is the route you want to take, so you start looking at the cut, price, and size of navy suits. You are not convinced that you really need or can afford a new suit, but you are becoming increasingly interested. Should you try on a suit or walk away and spend your money elsewhere?

During this time, a sales assistant has been monitoring your behavior – and he is good. He recognizes you from your visit last week and notices that you have been in the store for some time. He understands that you like the brand; you wouldn't be here if you didn't. He sees that navy suits are clearly your main interest. He notices that you have some reservations though; something is holding you back from taking the next step. He approaches you,"would you like to try on this suit sir."

15 minutes later you have tried on 3 suits and purchased one.

Now, if the sales assistant had approached you as soon as you entered the shop, it would have been irritating. You didn't even know what you wanted at that point. You hadn't been convinced by the brand; you needed time to browse. Had he waited much longer to approach, you would have walked out and not made the purchase. He noticed that you had a real interest in navy suits but also picked up on the fact that you had some reservations. He stepped in to overcome these reservations and made the sale. As a result of his relevant and timely approach, you are delighted with both your purchase and the experience you have had within the shop.

IgnitionOne's conversion optimization solution is similar to an online sales assistant. By monitoring a website visitor's behavior in real-time, an individual interest profile is built. When the technology recognizes that the site visitor has reached the purchase tipping point, an interaction is triggered on screen to assist the consumer in converting. This is very simple and very effective. The value of this online sales assistant? Clients using the solution regularly see an increase of over 30% in website conversions. A sales assistant who ignores the consumer's buying signals in store would ultimately be a failure, yet the majority of marketers are happy for their websites to operate in this passive way.

If you had a retail store, how would you want your sales assistants to work? Your website should be no different.

3 Types of Data You Can Use to Increase Profit

TOMMY MARZELLA, IGNITIONONE BLOG

Companies need to move past trusting their gut and into trusting their data. When you think about the mass amounts of data companies own on customers (transactional, behavioral, demographic, etc.), coupled with company data (inventory, real-time sales history, logistics, web activity, etc.), there is a large opportunity to decrease bottlenecks, while increasing loyalty, efficiency and profit along the way.

While there are infinite amounts of data that can be analyzed to help add to your bottom line, here are three examples help get you in the right mindset:

1. Customer Data:

The phrase "customer is key" comes to mind here as knowing your customer and their preferences will put you leaps and bounds above the competition. There are countless ways to start to look at new patterns, but a good place to start is to identify the data you have and start to ask questions. For example, you might notice that sales spiked 3x its normal range during April and May, which your data later reveals is because of a promotion you ran with an 84% coupon redemption rate. With the implementation of a DMP, you can begin to tie this information to an individual user's profile, create their shopping persona and market to their unique personal needs. Suddenly, you realize Sally visits your website every Monday at 8:45AM (searching for accessories), but never buys, which in turn might prompt you to send her an e-mail at 8:30AM with a 20% off coupon for accessories.

2. Employee Data:

When retailers think of profit, they often jump to sales data as a primary source for success measurement. But it is important to look at your employee data to see what the data reveals. For example, you may have thirty people in the company who work on processing orders and you discover the process is inefficient, causing delays and time for an overhaul. By collaborating with IT you are able to develop a new workflow management program to cut the order processing time from six steps to three steps. This time-savings allows your company to reallocate the time of these employees to new, profit-generating activities, while still exceeding historical efficiency levels.

3. Supply Chain Data:

Logistics can be complicated for any company. Knowing how much of a product to have on-hand can vary based on historical, seasonal and trending analytics. Along the process to delivery, there can be many delays, hold-ups or antiquated ways of performing tasks not rooted in data-driven thinking. Analyzing the path to purchase to delivery is a large undertaking, but can reap bountiful rewards. Once the product is delivered (if the shopper selects online delivery), you can send a follow-up survey requesting information on their experience. This information can be imported into their profile for future reference as your team develops resolutions to alert them once a viable solution is in place to their concerns. For example, if your system is not up-to-date with inventory, a customer could potentially order a product with overnight shipping expecting it in 1-2 days. Not only is the product not available, but now both the company and customer have the added headache of refunding the overnight shipping (and potentially the product if it was a time-sensitive purchase), when this problem could have been avoided in the first place.

As you delve into the depths of data analysis, remember the key is to discover the data you need to do your best analysis.



NETMINING

DRIVES 20,000+ ENGAGEMENTS FROM NEW CUSTOMERS FOR LUXURY RETAILER'S SEASONAL CAMPAIGN

CHALLENGE

A leading luxury retailer wanted to drive traffic and awareness from highly-qualified, new consumers to their brand site and Facebook page promoting a seasonal collection.

SOLUTION

Netmining combined 1st and 3rd party data to help the marketer target and engage with new consumers that showed affinity for the brand:

- **Modeled New Audiences**
- **Created Custom Segments**
- **Tied Offline and Online Data**

RESULTS

Within a period of 30 days, Netmining helped the marketer exceed goals and achieve the following results:

20K+ Unit expands

1.9% CTR

13K+ Clicks to the Facebook page

65% View-through rate

5K+ Clicks to the store locator

netmining

ENGAGE@NETMINING.COM | 212.991.4400 | WWW.NETMINING.COM

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5 Ways to Re-Engage Abandoned Carts with Data

TOMMY MARZELLA, IGNITIONONE BLOG

With increased traffic to your website, comes the increased likelihood of higher cart abandonment rates. Here are five ways to use your data to re-engage customers who abandoned their carts:

1. Segment abandoned cart shoppers:

Run a query to find all of the people who have abandoned their carts. Begin to segment them based on price, time since abandonment, and number of items in the cart. Use the data that you have to identify similarities and patterns. Perhaps you will discover 85% of your consumers who've abandoned their carts would have had a check-out price of over $100. This can help your marketing team better understand your shopper's behavior.

2. Monitor behavioral data:

Begin to look at the known and unknown profiles for those who have abandoned carts. Have they visited your website once in the past two weeks, or every day in the past two weeks? What e-mails have they opened, clicked-on or forwarded to a friend? Through understanding their behavioral data, such as search queries and clicks, you are on the path towards re-engaging these consumers towards purchase.

3. Explore previous conversion paths:

One of the best ways to learn is to see what conversion paths have worked in the past. With a multitude of device affinities and preferences, as well as finger-tip access to your brand, the shopper journey for a consumer is more complex than ever. By analyzing previous sales and asking yourself thoughtful questions, it will help you use the data you have to derive strategies and tactics for future marketing plans. Some examples might be "where did my customers come from before they got to my website?" or "what was their experience like along the way?"

4. Align new messaging with previous messaging success:

Before you can predict the future, you need to look at the past. Is there one e-mail you sent out that received an open-rate of 3x your average open rate? Why? Did you promote a special offer, such as 50% off or free shipping that led to an increase in open rates, click through rates, and conversion? As you craft your new message, take into account previous messaging and conduct A/B testing to see if it truly was the messaging that spiked conversion.

5. Be curious:

The best way to learn how to use your data is to explore it. Dig into it, ask questions and create hypotheses to test your assumptions. You don't need to be a data scientist to see that one e-mail led the company to $10,000 in sales, while the other to $0. As you aggregate data, you have more history to back up your marketing decisions and help re-engage your consumers who may have slipped off the path.

The Expense of Discounting

CHUCK BADDLEY, IGNITIONONE BLOG

Sales are down. While it's tempting to develop promotions with discounts to invigorate online conversions, you need to step back and see what your data is really telling you.

The fact is that a discount campaign may cause the numbers to jump up in the short term, but it also has the potential to cause more harm than good – especially when you might not even need it to trigger the response. While it can be an effective way to drive sales, it is better for the marketer to understand what actually makes a person tick. More often than not, other things will help solicit favorable response from customers. In fact, sometimes leading with or regularly providing offers to customers can create an expectation for future offers and even a devaluation of the brand.

When you think about this from the customer perspective, what they really want is for the marketer to put the right product in front of them at the right time at a "fair" price. If you consider your own buying habits, even the greatest of discounts cannot move you to buy a product for which you have little or no use. In the same fashion you are always willing to pay full retail price for that product that you love or must have. The successful use of offers must find a balance between those two scenarios.

Offers are best used to entice a customer to try a new product, a substitute product or a product that's closely related to one that they are already using. They can also be used to successfully cross-sell products or service to the customers already showing loyalty to your brand. This cross-sell product or service does not have to be related to the current products your customers are buying but usually data can suggest to the marketer which products might be a good option.

Strategically placing the right "fringe" product in front of your customers may be enough to elicit response. If not, a discount or special offer can be tested to determine whether or not it is price or something else that's causing reluctance on the part of the customer.

Interestingly enough, my experience has taught me that discounts and promotions tend to be one of the weaker tools a marketer can use to drive long term, sustained response. I have seen successful campaigns drive sales with the use of no offers whatsoever. The best formula for success seems to be fairly simple: Understand who the customers are and then consistently put relevant products and messages in front of them. And don't forget that almost all brands have several segments of customers so they need to talk to each of them differently.

There are some really cool things we can do with data that will help to indicate which customers (segments) are likely to buy certain products. Through testing we can learn how to present marketing messages (and yes, some may have offers) in front of them to move them through the customer lifecycle to a purchase. Data management for that clear view of the customer is at the hub of that understanding.



"Understand who the customers are and then consistently put relevant products and messages in front of them."

The 4 Magic R's That Online Gambling Marketers Must Make Work Together

SIMON HAYNES, THE WALL

Gambling brands are among the best-known brands in the UK, with a quarter of British adults saying that they gamble online, according to our recent research with ComRes. Yet the polarizing effect the industry has on the public makes it one of the toughest industries for a digital marketer to work in.

In an industry fraught with sensitivity and controversy, digital marketers must navigate a wealth of challenges and obstacles – some foreseeable, some not – to not just deliver against their marketing and business goals, but to do so in a way that combines commercial priorities with responsible outcomes.

Some would argue that balancing the all-important three R's – reputation, responsibility and regulation – is not always conducive to producing that ultimate fourth R, ROI. Each of those four R's must be respected and complement each other rather than act to the other's detriment – shaping tactics around them should be at the heart of every online gambling marketer's strategy.

In our newly launched report, Betting on Digital, we surveyed 2,000 British consumers, as the understanding of consumer psychology is paramount when it comes to online gambling, especially when it comes to reinforcing the link between public perception, brand strength and the 4Rs. Combined with the views of 11 senior marketers who we conducted in-depth interviews with, our findings give us strong food for thought in terms of how truly excellent digital marketing can stand out in such a complex industry.

Targeting effectiveness

Alarmingly, we found that two thirds of the British public is concerned about the amount of advertising for online gambling companies, while just one in five think advertising for these companies targets the right audience. This demonstrates a strong case for the use of more effective digital marketing solutions and more selective, efficient and productive targeting.

But more comfortingly, many of the marketers we interviewed placed great emphasis on the need to target the right audience and said that while segmenting was a high priority, the approach was still largely experimental to see what works and what doesn't.

Across the board, our marketers consistently recognized the importance of using their digital strategies to attract not only a high volume of traffic, but to genuinely identify and convert potential players of high quality and value.

Yet our interviews revealed that one of the biggest challenges is keeping abreast of the latest technologies – from developing new platforms that create differentiated products to offer consumers new experiences in an extremely saturated market, to improving

"Each of those four Rs must be respected and complement each other rather than act to the other's detriment – shaping tactics around them should be at the heart of every online gambling marketer's strategy."



social media messaging – and exactly how an investment in a new partnership or platform will deliver. This suggests there is an opportunity for marketers to engage more effective targeting solutions to optimize the results offered by digital platforms.

The public's views also relate to those of many of the marketers interviewed who say they still place great value on TV advertising as it is a strong means of driving brand awareness and web traffic. And, survey respondents who are active or previous online gamblers say online and TV marketing channels are equally important as factors in driving them to use an online gambling site. It's worth noting though that some marketers also feel that TV is competitive and expensive, and that it is more difficult to measure traffic originating from this medium than from digital.

Ethics and perception

Additionally, our report looks at the British public's perception of online gambling, what drives them to visit online gambling sites and if brands' efforts to behave ethically affects the reputation of the industry.

Our survey found that consumers want companies to pay taxes in Britain, make charitable donations and help those who need it. Running an ethical business is, after all, a central tenet for building consumer relations, and while the online gambling industry might be doing this, its reluctance to shout about it could be costing it valuable CSR points with the public.

There is an overarching view that responsibility is not a driver to purchase but a hygiene factor –more than half of the British public (58%) say gambling companies have some responsibility to ensure that customers gamble safely and 70% agree that online gambling companies should financially contribute towards research, education and treatment of online gambling.

One in five British adults even say they are likely to place a bet with an online gambling company specifically because it demonstrates corporate responsibility. This proportion increases to almost half when surveying only those who already gamble online. On top of this, 60% of British adults say online gambling companies can improve their reputations by making financial contributions to research, education or treatment of addicted gamblers. Consumers also expressed a desire for more government regulations to ensure that companies act responsibly towards customers.

Clearly, there is an unmistakable impact to be made on the public through more effective, positive communication of what the industry does behind the scenes to help. In general, the public has a particularly low appreciation of the gambling industry's contribution to the British economy, so there is an opportunity for marketers to highlight how gambling companies do indeed pull their weight.



Consumer segmentation

The explosion of mobile and social gives marketers an extra challenge—in addition to convincing gamblers to leave bricks and mortar establishments in favor of gaming online, they are trying to understand a complex new consumer experience.

Looking at the consumer data alongside the marketer interviews, it is clear that in addition to paying attention to building strong products and developing innovative platforms and social media strategies, online betting and gaming companies need to pay careful attention to consumer lifestyles and habits in determining how best to reach them.

Fragmented consumer groups across more online gaming sectors than ever before are driving more segmented marketing approaches. This is pushing the knowledge of digital ROI to its frontiers. Online gambling marketers have a set of unique challenges and must use a portfolio of resources available to them to solve their own unique algorithm of reputation and regulation in order to achieve ROI.

Why Retailers Win with Google Shopping

DAVE RAGALS, CPC STRATEGY BLOG

Why do you think Google Product Listing Ads have been so successful for retailers over the past year?

PLAs have seen tremendous performance in the year and a half since they launched as a paid offering. Just comparing the key Q4 2013 to 2012, impressions and clicks more than tripled, and spend grew at roughly twice that rate. Even compared to traditional PPC, which also saw huge growth, the rates for PLAs were downright astonishing.

The key is in the CTR, which is roughly 50% higher than traditional PPC. The simple fact is PLAs put the product, price and image directly in front of the shopper who raises their hand and says "I want to buy this." Searchers can virtually window shop from the SERP and know that they're a click away from buying what they want at the price they're willing to pay.

How do you see Google Shopping playing a larger, perhaps different role in Retail Search in the next 2-3 years?

The most obvious change coming is Google Shopping Campaigns, which essentially cements the concept that PLAs have gone from an optimizable feeds-based system to an optimization system first and foremost, just one that happens to be supported by a product feed. The other thing to keep an eye on is in the mobile space, where PLAs underperformed in the key holiday weekend last year. Expect a lot of attention on bringing up both CTR and spend for mobile traffic.

"Searchers can virtually window shop from the SERP and know that they're a click away from buying what they want at the price they're willing to pay."



Has Search Lost its Luster?

ROGER BARNETTE, MEDIAPOST

Search marketers remain a busy bunch of people. There is always significant change about which we need to worry and for which we need to adjust. Whether it's dealing with Enhanced Campaigns, new APIs, PLAs, new opportunities to reach users or just the constant honing and optimizing campaigns -- there always seems to be more on our plates than we can handle given the constraints of a 24-hour day.

But in spite of the continued evolutionary changes to the search industry and the no-time-for-rest attitude of search marketers, things are really pretty darn stable. In preparing for this column, I scoured blogs, newsletters and twitter feeds for something juicy to talk about. What controversy can I discuss? What grand prediction can I make or refute?

You know what? Search doesn't seem all that exciting anymore.

While display has the craziness and layers of acronyms and players, and social is trying so hard every day to come up with better ways to monetize their users, search is mature. Search is -- dare I say it -- more mundane. Oh I know we are living in "the year of mobile" and hey, look at that guy wearing Google Glass! But then we go back to optimizing keywords and creative.

Has search lost its luster? Has it lost its importance?

Let's just admit it as a group: Search is not sexy, nor is it cool-- at least not as much as it once was. But you cannot beat search for reaching customers with clear intent. Search is the best medium ever invented for communicating to customers who actually want to hear from you. And seriously, for marketers, it does not get any better than that.

Search is the world's biggest focus group, where a huge percentage of Internet users every day let us know what they want, what information they need and how we might help them. Every day, consumers ask search engines things they wouldn't ask their friends, spouses, or pharmacists. They open their souls to Google and Bing and Yahoo and Baidu and Yandex. They type in their hopes and dreams and fears. If that isn't exciting, I don't know what is.

Search is mature. Search is stable. We should not be bothered by this or feel envious of other channels. Search is still the king at the top and bottom of the purchase funnel. We are still the straw that stirs the drink. Search affects offline consumer behavior in clear ways that we are only beginning to harness. And as the world changes, it is likely only to bring search more deeply into people's lives. It's an evolution, not a revolution.

I don't know about you, but that's pretty exciting to me -- even if search no longer grabs all the industry headlines.

"Let's just admit it as a group: Search is not sexy, nor is it cool-- at least not as much as it once was. But you cannot beat search for reaching customers with clear intent."

It's Time for Digital Industry to "Put Down the Clearasil" And Work Collaboratively to Address Common Challenges?

Simon Haynes, The Drum

We are all in this together – we are all stakeholders in the success or failure of the digital media industry – it's incumbent on all of us to address these challenges and address concerns with viewability and the rights and wrongs of what the sector does on a daily basis – we have reached the difficult teenage years now, and it's time to put down the Clearasil and start growing up.

Brave New Search World

ROGER BARNETTE, MEDIAPOST



"Web users today, and not just young, savvy users, are adding new search tools to their toolbox when looking for answers to the questions they face every day -- questions you want to make sure your brand answers."

Best Marketing Practices

It is increasingly clear for both users and marketers that the search landscape is fragmenting. It doesn't feel like long ago when we would just "Google" anything we wanted to learn or discover. But web users today, and not just young, savvy users, are adding new search tools to their toolbox when looking for answers to the questions they face every day -- questions you want to make sure your brand answers.

A recent New York Times article attributed to Google the stat that "thirty-six percent of people's information needs are unmet." But that isn't stopping Google and sites like Yelp, Kayak, Amazon, LinkedIn, and Quora from trying their hardest to fill that gap. And when you add in differing experiences on different device types, the fragmentation only accelerates.

But what does this fragmentation do to the search landscape? As with all things, there is some bad, some good – let's look at a (small) sample of these pros and cons:

Cons

User experience: When there are many potential sources of information with varied quality, users have to take the extra step to understand the best place for what they need. This can be frustrating and can discourage users from finding the "best" answer.

Increase in marketing channels: Additional channels and marketing options are nothing new for digital marketers. But of course, search fragmenting definitely complicates marketers' communication efforts. Marketers need robust analytics to help determine how to share budgets and optimize across all these information sources that allow for paid advertising.

Pros

Better answers (potentially): When services focus on a specific area, it opens the door for users to get "better quality" and specific answers. This drives users to return and ask similar questions and provides opportunities to market to those with strong intent.

Innovation: Of course, Google isn't going to give up on trying to answer every question, Yelp and Foursquare will try to one up each other and Amazon will drive more investments in product searches elsewhere. By expanding the market, these companies are pushing more innovation and competition. This is almost always a positive for both users and marketers.

More options: While the increase in channels was under "cons," it can also be a pro. A wider range of marketing options can help marketers by creating opportunities for improving results on a full portfolio basis.

It appears to me that there are certain items for which consumers are ready for a Google alternative. Social recommendations, for example, are an area where Facebook and Foursquare are excelling but Google Plus is lagging significantly. Users tend to trust shopping comparison to Amazon more than Google. This is not a bad thing for consumers or marketers. Google is great at a lot of things – but no one company can be great at all things. Search and device fragmentation is a good thing – and as with all shifts in the digital marketing landscape, this is an opportunity for savvy marketers.

Keep Your Paid Search Thriving with Search Query Expands

DAVE RAGALS, YAHOO

By basing your keywords on search queries, you can increase relevancy, cost efficiency, and revenue opportunity.

Editor's Note: From time to time, we run stories by members of the Yahoo Bing Preferred Partner Program that offer expert advice and insights into SEM technology and improving the advertiser experience. Now we'd like to give you a closer look at the five partners themselves, which include IgnitionOne. Here's Dave Ragals, SVP Client Services, IgnitionOne, who discusses the value of expanding your keyword lists.

Your paid search accounts should be treated as living, breathing things, because the people on the other end of the queries are actually living, breathing things (at least we hope they are). It has been widely reported that 15% of daily searches are brand-new searches---things that we have not even considered bidding on. So how do we as search marketers keep up with the constantly shifting queries, keywords, and needs of consumers?

Search Query Expands

One way to negotiate these shifting sands is by making search query expands part of your regular process. Search query expands help marketers understand what keywords are being searched for by consumers but are not currently being leveraged. This process is one of the most effective ways to build out the "long-tail" terms, which create a more diverse keyword set and provide more assets to bid on.

Let's say you sell all types of jeans, so you bid on the (not exactly cheap) keyword "jeans." Then last week, everyone's favorite teen heartthrob was seen wearing purple polka-dot jeans. Since you stopped reading Tiger Beat long ago, you don't know about this fresh fad, but, believe me, your customers do. Overnight you start getting an influx of searches and clicks for "purple polka dot jeans" which you are capturing through your broad match keyword "jeans." While this may generate traffic, it is not truly effective.

When you understand what keywords are being searched, you can identify this phrase and bid on it directly. In fact, you could bid on a much cheaper "exact match" and align the creative to match with the product. By expanding your keywords based on search queries, you not only ensure full coverage for the account, but you also increase relevancy and opportunity for revenue, and gain cost efficiency. Since the key to marketing success is delivering the right message to the right person at the right time at an efficient cost, this tactic a no-brainer.

Negative Feedback

In addition to figuring out the best new keywords to add to your account, these reports can also help you identify new negative keywords that may be costing you money while not helping you (or the searchers). Matching to unwanted queries can be detrimental to your campaign performance and budget utilization.

Search Query Expands is a well-used tool in our toolbox at IgnitionOne. We pull reports at least once a month for our clients, with an increase in frequency during peak seasonal times depending on the vertical.

I want to stress that it's not just about pulling the report and adding keywords. As with most things, real live human eyes add value to the process. While your tools can do the heavy lifting, it's important to make sure someone audits any changes. And finally, after implementing the expansion, monitoring must be done to ensure the new changes are producing expected results.

Keep those accounts living, breathing, surviving, and thriving, because there is no constant except change. Continue to regularly focus on Search Query Expands to make sure you are not missing out on the next "purple polka dot jeans."



"Your paid search accounts should be treated as living, breathing things, because the people on the other end of the queries are actually living, breathing things (at least we hope they are)."

"Beyond static ad units or other technologies, the key to viewability's adoption is for publishers to stop throwing ads well below the fold to juice their revenue."



Viewability May Save Display from Itself

CHRISTOPHER HANSEN, MEDIAPOST

Display advertising is a mainstay for digital marketers, but the necessity of scale and the glut of available inventory have made it practically impossible for buyers to not only see where their ads run, but determine whether or not consumers saw those ads as well.

While the ecosystem is aware of these flaws, it's proven truly unwilling to change its ways. It's almost in need of an intervention. Luckily, a growing focus on viewability may bring about the change this industry needs, with publishers themselves making a concerted effort to improve their ads.

Viewability is an attempt to define where on a page an ad appears, along with the consumer's likelihood of seeing that ad while on that page. Sellers are now offering impressions on a viewable CPM, or vCPM, basis. While the concept could have a major impact on display sales, it's still not the industry norm. Direct response advertisers prioritize performance, so viewability isn't necessarily tantamount to their ad buys, but vCPM resonates with brand marketers, who value viewability more than softer metrics like clicks.

Publishers need to grab hold of the concept that ads need to be more viewable, and make it one of their core competencies when designing their pages. Non-viewable ads are not valuable to marketers, so there's really little need for publishers to work them into their page design. For vCPM to scale in an effective manner – that is, moving toward a world where selling on true viewability is possible – ads below the fold should be considered worthless, to some degree. It's a particularly important concept within programmatic buying, where advertisers and agencies are building protocols to avoid impressions that are below the fold. They're doing this through the growing availability of pre-bid data, meaning that publishers that don't adapt could be cut out if buyers prioritize viewability.

There are other factors that affect the concept of viewability, including ad density. Below the fold placements are certainly of little value, but the value of prominent placements deteriorates as well when a page is overcrowded with "viewable" inventory. Advertisers need to learn about low-value placements before their ad is served – fortunately, newer tools are solving this problem. Media verification, once bucketed as a reactive post-campaign tactic, is now moving toward an "inventory analysis" model to help judge impressions pre-bid.

Some publishers are already exploring ad formats that create stickier banners, by either fixing a bar to the bottom of the page that keeps a banner in view, or making banners that don't scroll with the rest of the page content. While not necessarily the most groundbreaking executions, these solve problems for both marketer and publisher.

When these tools become the norm, buyers should completely eliminate below the fold impressions from their bid strategy. That inventory is not efficient, and no seller wants to pass something of little or no value along to others. Advertisers should be able to pay $2 for a 728x90 unit on the top of the page and cut their losses, rather than throw money away on units that are never seen.

Beyond static ad units or other technologies, the key to viewability's adoption is for publishers to stop throwing ads well below the fold to juice their revenue.

While advertisers can employ new tools, they don't have to worry about poor quality below-the-fold inventory if publishers eliminate it all together. Yes, it seems strange to suggest that fewer ads will actually improve display, but buyers who prioritize viewability will pay higher CPMs for the remaining units on a page. Efficiency will increase as well, as buyers sort through fewer impressions.

Cramming extra ads onto a page gives unscrupulous publishers a short-term gain, but it's a losing proposition that has deflated display's value. The shift toward viewability is the symbolic ferryman, coming to collect from the publishers who have damaged display's reputation.

The Sweet Spot for Conversions

CHRISTOPHER HANSEN, DIGIDAY

Flip through the pages of a magazine; you'll find that advertisers often only have one ad per issue. It may be a two-page spread or a quarter page, but it's unlikely you'll see ads for the same brand 40 pages apart. Ad placements are a little different online as advertisers commonly buy space on multiple pages of the same sites. To prevent over-serving consumers with the same ad messages (and to prevent spending too much by doing so), the online ad space adopted frequency capping to limit the number of ads delivered to a single consumer over a set period of time.

The concept of frequency capping is in need of serious reconsideration. Marketers employ caps for economic reasons. They pay for each impression and don't want to spend excessively on the same user. But this logic is flawed. The marketer assumes a minimal amount of ads will drive the expected user behavior. By making this assumption, the marketer places an incorrect value on the number of ads served to a user. The frequency cap fails to account for behaviors and interests of users, instead setting an arbitrary rule that prevents advertisers from reaching consumers at the most critical moments.

Through analysis of two campaigns, we found that most conversions happen within the first few hours after a consumer engaged with the marketer's site. The first example was a remarketing campaign for a hotel chain that accounted for more than 200 conversions in the first hour after an initial site visit. The several hours that followed averaged greater than 40 conversions per hour, before falling off to less than 10 conversions an hour. The campaign still drove conversions more than four days later, but at a much slower rate. Meanwhile, a campaign for a national retailer saw the highest conversion rate in the first hour after a site visit, before falling nearly 50 percent in the second hour. After four hours, the campaign was converting at a rate of barely more than 10 percent of what it achieved in the first hour.

Consumers are continuously converting, but special attention should be given to where you can see the highest conversion rates. We have heard requests from marketers to cap messaging to two impressions per day or, even worse, two per week. The sweet spot of where impressions offer the highest value is indicated by a demonstrable drop in conversions a mere four hours after consumer engagement.

The results don't hold true for every advertiser, and pounding consumers with ads doesn't work either. For example, we see many ad buyers with longer sales cycles. These marketers may have sustained conversion rates lasting much longer than the four-hour sweet spot. This means that frequency control still has a place, and marketers need to determine their caps based on actions such as purchases, sign-ups or site visits, rather than arbitrary, blunt user-level cap.

Ads delivered within recognized sweet spots are far more likely to result in conversions and advertisers should be willing to pay more for higher valued impressions (those exhibiting the highest interest in converting), and less for those with lower interest levels. Capping fails because it can't take this value into account. It only operates based on artificial numbers that do not take individual consumer values in consideration.

Marketers should pursue the impressions most likely to convert, but maintain a level of restraint that prevents them from applying the same capping rules to all consumers. If long-tail consumers are available for a very low bid price, go for it. Otherwise, don't lose your best prospects by letting frequency capping handcuff your campaign.



"Consumers are continuously converting, but special attention should be given to where you can see the highest conversion rates."

Getting Real with Remarketing

CHRISTOPHER HANSEN, ADMONSTERS

Best Marketing Practices

Interest-based remarketing has been available to the industry for years. Today, most marketers who've been using remarketing execute it wisely -- and with skill. As a single method, remarketing has practically become an industry standard.

But, if you look closely, this approach appears to be a preferred performance marketing measure. At first, most marketers don't naturally consider remarketing a branding option. So, as an industry, we are not seeing cohesive use of remarketing when a company has both branding and performance objectives. DR seems to be the default application here.

For the industry to leverage and realize the full potential of this approach, we need to be more aggressive and thoughtful when remarketing across our media plans – branding and DR alike. So, what does full-fledged leverage and deployment look like? Well, it means that we are continually using what we know and what we learn about successful, productive audience profiles – both current and discovered, endemic and non-endemic – to do more of what's working for us.

To illustrate the issue, there are several specific ways we hurt ourselves with this short-sightedness and what is essentially a DR bias, when it comes to the remarketing method.

Blind Budgeting:

The best ad marketing budget allocations are informed by a full appreciation for and visibility on the mix, with nothing operating in isolation. This open-mindedness is needed when determining channels, media types and platforms, visual creative and messaging – as well as targeting methodology. Even though different teams or plans may be accountable measure by measure for what's being executed, it's important to know what's being deployed and to what degree we are investing in tools and solutions – so that we may always learn from the outcome and apply our findings on every relevant front, and not inefficiently split and silo our targeting dollars. Fixing the discord is easy. Make sure all the right people see and review the strategy. Circulate a solid media brief up front and take a collaborative approach to performance reporting.

Help Your Provider Help You:

An audience solutions provider worth its salt will know remarketing as a method inside and out. If you expose your providers to both your branding and performance objectives, this will empower them to deliver for you. Just as you should not silo or isolate the method within your own efforts, nor should you hinder those you are entrusting with this bias. In addition to examining all of your own audience-related data, learning and intelligence to date, your provider will be leveraging their own base of data and experience. It is only with full visibility and inclusion that they can truly scale for you, using whichever solutions you have engaged.

Don't Get Stuck on 'Your' Audience:

By executing audience targeting and remarketing based only on what you believe and know today about your audience immediately hinders your opportunity. Sure you may know your demographics, lifestyle attributes and even have some successful behavioral models on hand, but there is no need to stop there. If you go in stuck on a set perception of your audience, only willing to mine the same audience profiles, you are not exploiting the power of the method or enjoying the benefits of the state of the science.

Consider this example of what happened when one of our car rental clients opened up his point of view and looked beyond his endemic audience. The marketer found new audiences who were more likely to take advantage of the marketer's offers in the following segments:

- Discounted fashion forward professionals turned out to be 3.4X more likely
- Observed travelers who showed multiple country impression requests in the last 30 days were 2.8X more likely
- Mainstream video delivery site visitors were 2X more likely
- Dating sites users (i.e. singles) were 1.6X more likely
- Professional service consumers turned out to be 1.5X more likely
- Automobile researchers were .2X more likely

These exponential boosts show how a marketer can find new highly qualified audience segments previously unimagined – and benefit by targeting them. This more open approach allows a marketer to scale up conversion-driving activities and also increase exposure, visibility and branding to wider radiant audience circles. As a result, there is less discord, fewer constraints and your plan is in its best possible position to deliver.

B2B Perspective: Email Vital to Keeping Brand's Conversation Going with the Buyer

RIMMA KATS, EMARKETER

AN INTERVIEW WITH:
Patti Renner
Director, Marketing

eMarketer: Email has always been an important digital marketing tactic for B2B marketers. Have you noticed that in the past couple of years, spending on email has increased?

Patti Renner: More money is going into all digital channels. Email is really the anchor of many of those approaches, so that makes sense.

eMarketer: Was this occurring especially during the recession, because email is so comparatively cheap and consistently effective, or do you think it's happened more after the recession?

Renner: The recession and the economy had something to do with [the growth of email spending]. However, we're also entering the age of the customer. Mobile device usage is higher than it's ever been.

As mobile usage increases and mobile adoption rates rise, email is one of those channels that is a direct conduit into the consumer, into that point of intimacy between a consumer and the device that they use.

The funnel has pretty much collapsed. We still refer to the funnel because it's a convenient way to describe the customer path to purchase, but it's really the consumer who is driving the brand interaction. Additionally, the rise of digital and mobile usage has only supported the use of email as an effective channel. That increase of access into people's lives, into their 24/7 attention span, happened to coincide with the recession and with what's going on with the economy. But that may not necessarily be related.

The rise of digital and mobile usage has only supported the use of email as an effective channel. That increase of access into people's lives, into their 24/7 attention span, happened to coincide with the recession.

eMarketer: What do you believe is driving this increased spend on email?

Renner: Effectiveness. We are in a time when no one wants to make a bad decision, and B2B marketers tend to stick with what they know is going to work. Email has a long-proven track record whereas other channels may either not be measurable or their performance may vary.

Email is the anchor—it's the tried and true. If marketers are getting the returns on it, then that would definitely be where their money would go.

eMarketer: How much of an impact does content marketing have on increased spending?

Renner: There's something that I like to call an orchestrated conversation, and that is a digital conversation between buyer and business. The best conversations have specific useful content that's shared, which adds value to that brand relationship. It basically educates, entertains or enlightens.

There are a lot of different ways that you can approach content marketing, but for B2B, it's really to provide that level of trust and that connection that reinforces the relationship with that company. Email is the distribution channel for a lot of that content. It's what continues that conversation. After the lead generation of download, it's the essential tactic to continue to orchestrate that conversation and to build a relationship with the brand.



eMarketer: How important is the growing use of mobile devices?

Renner: The open rates of email for the B2B industry on smartphones is 30.59%. On tablets it's 7%. For mobile overall, that adds up to 37.59%. Those are the numbers from the past six months of 2013.

When you look at the numbers from the first six months of 2013, the combined total is only at 24.2% of overall mobile open rates. There's a significant jump just in six months of the adoption rates of B2B customers using email.

The hours between 7am and 11am for B2B email communications tend to be higher, and then they gradually taper off throughout the day.

eMarketer: Do you see any differences in terms of B2B email usage with smartphones vs. tablets?

Renner: There are a lot more smartphones that are being used vs. tablets. That makes sense because of the nature of B2B. Additionally, the open rates tend to be higher during the workday, especially in the morning hours. The hours between 7am and 11am for B2B email communications tend to be higher, and then they gradually taper off throughout the day, and then really plummet when it comes into the evening.

For B2B marketers who are sending email, a best practice would be to look at your data and see time of send against open. Take a look and see what time of day is most popular and look at the metrics. There may be specific segments within your overall audience. Perhaps there are five different products that you may be emailing out to promote. Separate those product audiences and look at the numbers for each. Look at the data down to each individual that you're actually sending to.

Behind each one of those email addresses is a person with specific preferences and tendencies. With a crowded inbox and with the challenges that people face, it really makes sense to look at people and to build audiences around the interests of the individual. It's important to make sure that your messaging is customer-focused and really hones in on what their behaviors, what their click activity, what has interested them in the past, what they have responded to.

"For B2B marketers who are sending email, a best practice would be to look at your data and see time of send against open."

SHIFTS IN THE MARKETING LANDSCAPE

The world of marketing and advertising has been changing rapidly in a landscape where technology is king. Read more thoughts below about how the leaders in the space have been dealing with these quick shifts, what we should look out for and adapt to in order to stay relevant and agile.



"If we believe in what we do we can no longer be the David Blaine's of advertising – hiding behind technology and data as if it were smoke and mirrors."



If We Want to be Taken Seriously, Then We Need to Get Serious

SIMON HAYNES, THE DRUM

As an industry, digital advertising has been at the forefront of change for over 15 years. At the start of a wave which would go on to change everything, from how we carry out our everyday lives through to the way we communicate and connect with each other on a basic level, the internet has given us a new environment to live in. But if the digital advertising industry wants to be taken seriously, then it's time to be serious about what we do.

With the advent of online advertising, marketers were not only able to accurately measure how many people their message was reaching but begin to develop an in-depth understanding of those people who were engaging with their message online. The internet opened the door to being able to see what else that audience was interested in and, instead of asking a select group of people who were well aware their thoughts were being recorded in market research groups, for the first time marketers were able to discover who their audience truly was and what they were interested in.

Modern marketers know that the key to having a successful advertising campaign is to focus on an individual's needs and have a relevant conversation with them. We have moved into an era where people don't want to be treated like a number or consumer and technology has made it possible for this to happen. As much as I hate the phase, we have moved into a time where advertising needs to be a human to human conversation to break through the white noise.

The digital media industry should be proud of this. Through the algorithmic scoring of users and page level semantic analysis, we have created the technology and the ideal environment to serve the right message at the right time in the right format for every single user. We've developed the metrics to demonstrate its worth and prove our validity as an advertising channel. We have achieved a lot.

But if we believe in what we do we can no longer be the David Blaine's of advertising – hiding behind technology and data as if it were smoke and mirrors. We should be proud of the vast sums of money, time and talent that go into developing and delivering the solutions that we provide and that pride has to take the form of us being open enough to reveal what's behind the magic.

If we, as an industry, are able to deliver a cohesive message around what our technology does and how they work in language that marketers (and everyday people who are wary of data collecting technology companies) can understand then the way I see it, the industry can only benefit. By educating people about our solutions, it will remove a lot of the fear around issues like third-party cookies that have been demonized in recent years.

It will help marketers understand why digital marketing should be an important and valued part of their advertising strategy. And it will mean that the digital marketing industry can charge a suitable metric that reflects the significant investment that the industry as a whole has put into these advertising solutions in the first place.

All marketers should be able to ask their digital agencies and their technology providers to explain their advertising solutions to a level they're satisfied with. All marketers should be able to see the results and the value that each digital agency and technology providers add to their advertising campaigns. If they can't answer you, ask them why aren't they proud of what they do? Why aren't they willing to share their knowledge? What value are they really adding to your advertising campaign?

Transparency is the next evolution of the digital media industry. It's a sign of maturity and growth and one that the digital industry should embrace. We should be proud of what we've achieved so far and be willing to share that knowledge. I know for some player this won't be an easy process and there will be winners, losers and inevitably some consolidation.

But I, for one, proudly accept the challenge.

Ad Tech Progress Requires Drastic Shift in Agency Priorities

WILL DOHERTY, MEDIAPOST

The amount of data and intelligence available for programmatic media buying grows exponentially every day. RTB platforms can distill the data and design algorithms to endlessly exploit their potential. This gives agencies and their media buyers a daunting -- but not impossible -- challenge. They must effectively evaluate the ability of one platform or algorithm against another in an age where technology is growing more complex.

Media buyers are not data scientists, nor do they have a preternatural understanding of how to evaluate or judge the logic behind an algorithm. Yet the demand side is doubling down on the science, creating more complex and interesting solutions. Of course, complexity does not equate to high performance across the board. If media buyers are expected to vet technology in a programmatic age, then agency priorities must change.

There are plenty of brilliant planners and buyers in our industry, but truth be told, we also have a young, underpaid and overworked work force that marketers depend on for media decisions. Due to their limitations, there's never enough time to truly digest the workings of a technology. Ad tech companies tout their algorithms as a means of differentiation, but simply having an algorithm is no longer enough from an agency's perspective. Being able to understand what that algorithm is and does is important, but agencies never ask to see the algorithm. They don't want to see it, or really even know what do with it. If algorithms are the means of differentiation, but agencies aren't prepared to identify attributes of an algorithm, that's a problem. It's great to pit two tech companies against one another and have them go head to head, but that's a slow process, and media buyers don't have time to test every technology.

Demand-side technologies are adding to the complexity by productizing menial features that are more effective as an acronym than as a differentiated product. Tech companies are also moving into what was previously agency-only turf, creating a clear and present danger for the current agency model. The people on the front lines of agency decision-making and vendor meetings aren't equipped to see through the marketing fluff.

Real-time technology partners do not get a free pass on this one. They are as guilty as agencies. We employ a dated sales strategy and staff that can't articulate what makes their science so special. Deals are often completed because of marketing jargon over more substantial conversations.

Instead, everything should be based on what technology can provide. Relationships are important in any business, but should not be the foundation of a well-articulated media plan in the programmatic age.

It may be impossible to resolve these issues overnight, but we can all agree on the need to take a step back and reexamine skill sets needed within the agencies and technology companies. Simply put, we are not having the right conversations between buyers and sellers because we often do not have the right people in the room.

Nearly every agency and technology partner I deal with wants this shift to happen, but it takes greater investment in staff. This would change the current agency practice of hiring recent graduates who will work for relatively low wages and happily report to the front lines. Lower-level buyers will still be important, but they won't have as large a role in the technology decision-making process.



"Relationships are important in any business, but should not be the foundation of a well-articulated media plan in the programmatic age."

"The greatest potential of programmatic buying is in its ability to change course and quickly deploy new tactics."



Even then, the agency side has to be wiser about how they look at technology. Agencies need a repeatable evaluation process if they are to work easily with multiple platforms. This process comes down to three things:

Clearly define goals, with and for clients. Is the campaign all about conversions? Clicks? Verified audiences? How much should those events cost clients? Are they willing to pay for it? Be realistic, but also challenge the status quo. Media plans should change as consumer behavior changes.

Examine how data is processed by various technologies. The values assigned to data will vary within tech platforms. For clients working under strict KPIs and last-click attribution systems, quantity will win out over quality. For brands that consider consumer quality and frequency paramount, an algorithm or technology that values consumer behavior and engagement is more valuable.

Leverage the flexibility of programmatic to pivot and deploy new tactics. The greatest potential of programmatic buying is in its ability to change course and quickly deploy new tactics. Listen to the data and follow it. Do not try to back the results into the goals.

All these pillars refer to practices that are not easy to learn overnight, and require an experienced media buyer who knows what to look for. Agencies as a whole aren't broken, but if they fail to devote resources to media talent, they'll continue to cede ground to bigger tech companies. Legitimate investment in talent and ad tech education on the front lines of media planning should be a priority, for both agencies and their advertiser clients.

It's Time to Bring Data Scientists on Sales Calls

CHRISTOPHER HANSEN, AD AGE



"It is classic syllogism -- big data is cool, and big data is managed by quants, therefore, quants are cool."

In our data-driven world, delivering for clients is no longer as simple as staffing for sales, accounts and operations. There's a new duo making the rounds: the data scientist and the sales executive.

At first glance, you might focus on the stark contrast between them. It's like the pairing of John Voight and Dustin Hoffman in "Midnight Cowboy" or Chris Tucker and Jackie Chan in "Rush Hour." Yet as the tale unfolds, they somehow gel and help each other along.

The thought of a quant-y, algorithm-y guy selling media may frighten some. Will he or she confound the CMO who is still scratching his or her head about automated audience-buying? A few years ago, an industry friend of mine asked his chief data scientist to accompany him to a pitch. The idea was for him to sit silently in the corner, and look smart, just to show off the intelligent guy who built the algorithms. But in the ad-tech world now, a land of upstart CEOs, the companies are in fact run by nerds. They've become cool. It is classic syllogism -- big data is cool, and big data is managed by quants, therefore, quants are cool.

Thanks to "Mad Men," advertising still has the reputation for slick two-hour-lunches and mohair-suit-clad sales guys. But given the increased requirements of ad-tech, and the specialties of the sale, the make-up of the team has changed. Tech leads the space. Is it so crazy that data guys could sell the product?

Marketers' questions are getting more technical during pitches. It's hard for traditional sales people to answer them when on their feet. Furthermore, the people asking questions don't always understand the answers. The call and response requires a subtle re-framing of the questions to educate and create buy-in. This is not purely relationship selling.

Unlike a technical-enterprise sales pitch, media selling hasn't historically had the need for a position like the sales engineer. Data scientists are now the media-sales equivalent of the sales engineer. Online media companies historically sold networks and sites the same way someone sells watches: silver, gold, big face or small. But now, when display advertising is becoming commoditized and algorithms are potentially the only differentiation, the tech world needs a data-versed seller who can get down in the weeds while making it all seem not so scary. The pitch is far less about inventory and audience and more about how predictive modeling works and what insights the technology can provide.

Consider the most stereotypical of sales pitches: the car. There's an engine, body and four wheels to get you from point A to point B. It's interchangeable, one company to the next, and nearly anyone can sell them. For a brand to resonate and thrive, it needs a more advanced sale. Think about Mercedes, which sells its science, in terms of engineering and manufacturing. It doesn't sell cars, but well-engineered machines and ideas.

The differences between tech companies are intangible, but they exist, in unique data sets and algorithms. What we've done historically doesn't play in this new world of data and science. Our media world is increasingly driven by programmatic strategies, the sales pitch is changing, and we need to adapt with that. We can't ignore the fact that the data scientists, nerds and quants have become the cool kids now.

"To avoid potential catastrophe, online media must adapt to the waning days of cookie-powered marketing."



Are Marketers Ready for the Age of 'Peak Cookie'?

WILL DOHERTY, MEDIAPOST

There's a strong parallel in online media, where the rise in mobile content consumption is making the cookie less important. While there are detractors to the concept of "peak oil," it's impossible to deny that we're very close to hitting "peak cookie," leaving marketers with less access to cookie-level data in the following years.

Peak oil is dangerous because the world economy hasn't taken the steps to adjust. The same fallout potential exists online, since consumers are used to free ad-supported content that relies on cookie targeting. To avoid potential catastrophe, online media must adapt to the waning days of cookie-powered marketing.

But just like oil, cookies will never go away. The desktop browser will always have a place in online marketing, but it will carry less weight. U.S. consumers are already spending more time on mobile than on the desktop, according to Nielsen data, and there's no reason to think that will change. Facebook is indicative of this changing behavior, with 53% of its ad revenue coming from mobile, according to the company's Q4 2013 earnings. Other popular networks and websites will soon switch to app-centered modalities.

In the very near future, the central consumer data signals used for marketing will be based on the form and function of the devices used to access content. For example, the screen on the tablet makes it easier to look at retail items and go online shopping. The phone is always at hand, so it's used for quick information, but it's not always a browsing tool. This matters when serving ad messages.

But looking only at mobile is a shortsighted view of the future. The post-cookie ad targeting economy will rely on the ubiquity of Internet connections in consumer electronics, from wearable items like the Fitbit to household devices like Nest. Google's purchase of Nest was driven by access to data, with the understanding that it paints a richer picture of consumers' lives.

Marketers are no longer dealing with a piece of code that can teach us about browsing habits. They'll need to wade through an exponentially larger pool of data, one that allows for detailed and flexible customer profiles while also presenting a very complex intellectual challenge to the marketing community.

Just like solar power or alternative energy, tackling cookie alternatives in a post-peak-cookie world requires heavy investment in research and development right now. Advertisers need to reconfigure their data collection strategies across the board. They'll be increasingly relying on their own first-party data for RTB and programmatic transactions.

Fortunately, many of them have data available from their existing customers and sales. When combined with the signals from a variety of devices, including a mix of Internet browsing devices (phone, tablet) and lifestyle electronics (fridges, fitness aids), marketers will have a very clear picture of their current and potential consumers, and how they respond to messaging in different environments.

We're more than capable of solving the problems in the era after peak cookie. Consumers will continue to accept advertising, but the challenge falls to advertisers to develop ways of extracting data and targeting that are within the privacy guidelines but still profitable enough to sustain free content. This challenge is upon us now, not later. Let's start finding that solution.

The New Millennials: Generation FB

LISA ARSENAULT, IGNITIONONE BLOG

I am Generation Y. And apparently, that generally means I'm tech-savvy, family-centric, achievement-oriented and crave attention. Don't believe me? Check me out on Wikipedia. (Did I also mention that I'm team-oriented and gullible? Okay, I made that last part up but my generation does seem to think that Wikipedia is the new Encyclopedia Britannica).

While I mostly agree with the common traits associated with Gen Y, I do think we're being grossly misrepresented by our classification. We've been called 'Generation Next' and the 'Net Generation,' but anyone with Internet access knows how much time we waste specifically on Facebook (though I'm still revolting against Pinterest – I really only need one time-suck in my life at a time). I check Facebook before I check the news, the traffic in the morning and even my email. And I don't even like Facebook! Like most, I have a love/hate relationship with Facebook. In fact, I love to hate Facebook.

Introducing Generation FB.

Tech-Savvy. Yeah, I can access Facebook on my laptop, tablet, iPhone, and smart TV. Doesn't everyone?

Family-Centric. My grandparents didn't call me last week to wish me a happy birthday. They posted on my timeline. I've watched my niece and nephew grow up via FB posts, picture, and videos – and I've 'Liked' them all.

Achievement-Oriented. I love to update my status to tell everyone how much more I've done with my life than they have.

Attention-Craving. Really, I'm posting about how amazing my life is secretly hoping that at least two of the popular girls from high school are FB stalking me wishing they could be friends with me. And when Starbucks screws up my double skinny half-whip latte, I just need a little sympathy.

Sounds harsh, right? Well, Advertisers, it's about to get harsher.

Most of this article has been about me. And please stop to think about this, because Facebook is about me. Not you. Yes, I know I just changed my relationship status from single to engaged, but I really don't need a wedding photographer yet – so please stop blasting me with ads. But if my best friend posts on my timeline to congratulate me and shares a few of her GORGEOUS wedding photos, now I'm looking for a wedding photographer.

I realize I'm probably not completely indicative of the norm since accessing Facebook is part of my job– but I think most of my fellow Generation FB'ers are with me on this one. We tend to ignore Marketplace ads. Ever wonder why the average CTR is lower than standard display? Again - because Facebook is about me, not you. I'm there to engage with my friends and family. To play games and share stories. So engage with me.

Ask me questions. Give me incentives to share. And leverage my engagement to your advantage by supplementing those organic interactions with Sponsored Stories at the right time with the right message. That way, you're not telling me how great your product and services are directly, you're letting me act as a conduit to share that information for you. It's about bridging paid and earned media, the invaluable intersection at which you'll start to take control of your Facebook campaigns and drive results.

I'm not saying that Marketplace ads aren't without their purpose, but think about your presence on Facebook, what you're trying to achieve in being there, and develop a STRATEGY to go after it.

Not sure where to start? How about here:

Don't advertise on Facebook because you think you must or because your competitors are doing it. Get on Facebook with a real goal in mind. If you're not sure what that means for your brand, there are plenty of partners out there who would 'Like' to help you figure it out.



"Like most, I have a love/hate relationship with Facebook. In fact, I love to hate Facebook."

Management Lessons from a Public Company Gone Private

WILL MARGILOFF, ENTREPRENEUR





My executive team and I recently led a management buyout of IgnitionOne, our marketing technology firm from Dentsu, the Japan-based, global holding company. While this type of ownership can offer both scale and resources, at the end of the day, we knew as an independent force we'd be able to better attract and retain talent, innovate product offering and more aggressively grow the business.

As a serial entrepreneur, I am thrilled to be returning to my roots of unfettered entrepreneurship, but this excitement doesn't come without concerns. We had grown considerably in all aspects of the business during our three and a half years as part of the holding company.

What happens to a business when it extracts itself from the sphere of publicly-traded global monolith and refashions itself as a private company? What happens to culture, process and ultimately the product?

Here are some important lessons I've learned in the process:

1. Do good things for your clients and good things will happen to you.

Often, when a business operates within a large, publicly-traded global holding company structure, there are many stakeholders who can distract a company from its clientele. When you are independent, you are free to focus on your clients as the number one priority.

A "clients first" mentality is the winning formula. By focusing on what's best for your clients, you'll create a culture that will maximize success.

2. With ownership comes responsibilities and rewards.

Now that we are independent, each of our full-time employees is also an owner. We are each empowered to make decisions in the best-interest of the company and our clients. Ownership helps reinforce our goal of operating with urgency. If we want to succeed, we must work hard. And when we succeed, we all benefit. Being out from under a holding company structure will also allow us to be more creative in terms of compensation and cultural perks.

3. Independence means innovation.

You cannot succeed as a technology company without innovation, and as an independent company, your hardest decisions will be what not to work on. There is no time for bureaucracy or petty politics when the team has a unified freedom to dare and execute. As masters of your own destiny, you also open the doors for infinite possibilities. What will you focus your energies on next? What new capabilities will you be first to the market with next?